

The "Medical Chart" of a Business

- Doctors use charts to check physical health.
- Investors use statements to check business health.
- Standardizes complex information for easy reading.



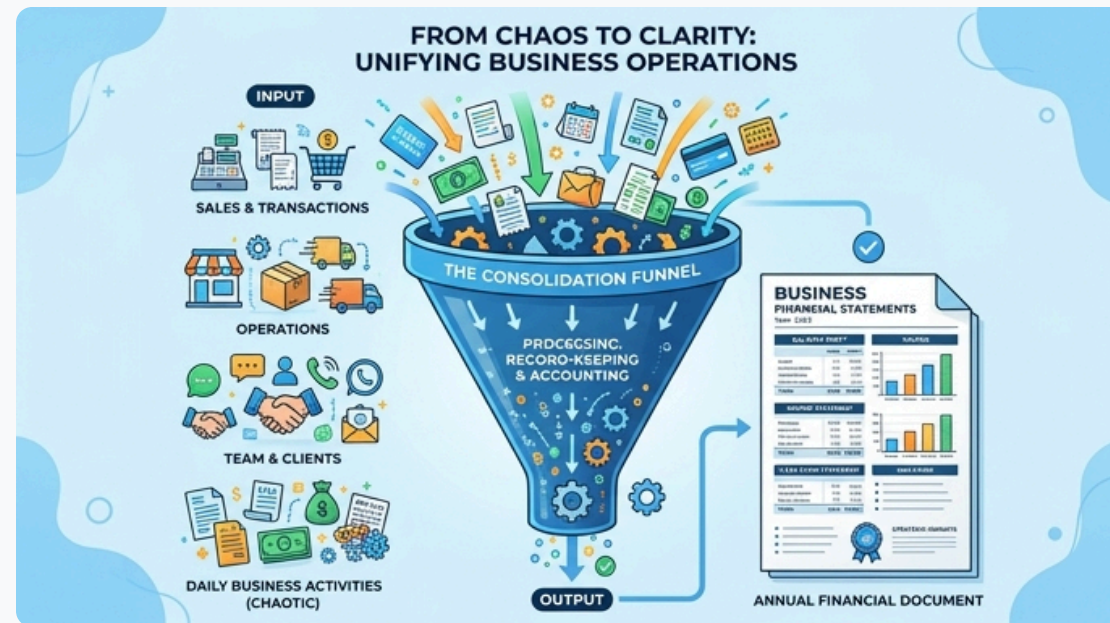
Doctors rely on medical charts to evaluate a patient's physical health.



Decision-makers rely on financial statements to evaluate a company's financial health.

Translating Business Activities

- Daily operations are chaotic and diverse.
- Statements convert actions into a universal language.
- Enables objective, data-driven decisions.
- Not just a random pile of daily receipts.



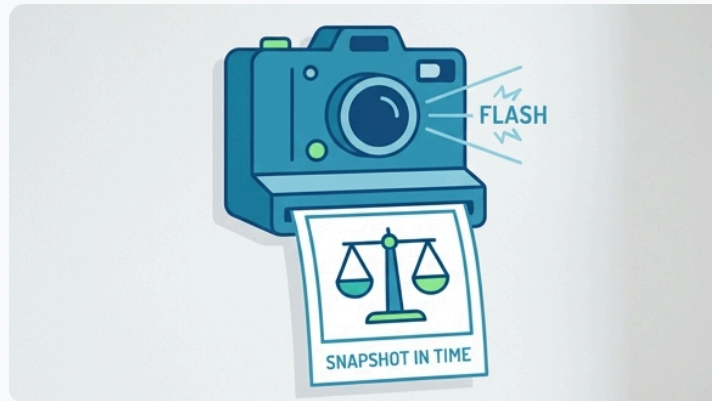
Financial statements act as a translator, turning everyday business chaos into structured, readable data.

The Three Core Financial Statements

- Income Statement: Measures profitability.
- Balance Sheet: Snapshots financial position.
- Cash Flow Statement: Tracks real money movement.



Income Statement: Tracks performance over a period of time.



Balance Sheet: A snapshot of current financial standing.



Cash Flow Statement: Tracks actual cash movement.

Evaluating Business Health

- Businesses require standard health checks.
- Financial statements act as a medical chart.
- Daily activities are translated into standardized numbers.



Financial statements act as a comprehensive medical chart for a business.

The Three Core Statements

- Income Statement: Tracks profitability over a period.
- Balance Sheet: Snapshot of what is owned and owed.
- Cash Flow Statement: Monitors actual cash movement.



Income Statement: Tracks profitability over time.



Balance Sheet: A snapshot of current financial position.



Cash Flow Statement: Monitors real cash moving in and out.

Understanding the Timeframe

- Balance Sheet = A static point in time (Snapshot).
- Income & Cash Flow = A period of time (Video recording).
- A snapshot alone cannot show the full operational story.



Balance Sheet: A static snapshot frozen at a specific date.



Income & Cash Flow: A video capturing motion over a period.

What Financial Statements Are NOT

- Not all business information is financial data.
- Separate subjective claims from financial reality.
- Focus strictly on standardized monetary metrics.



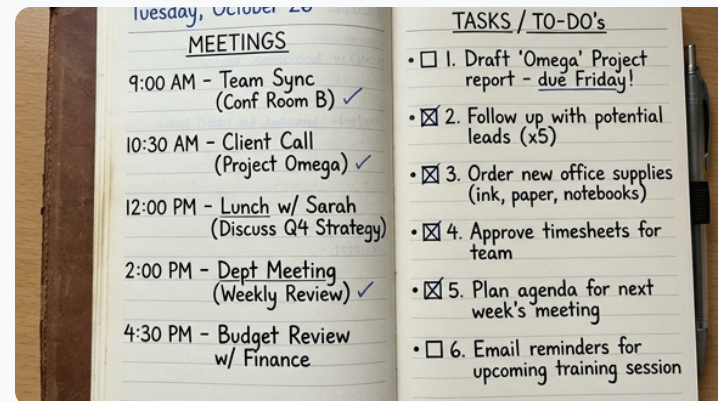
Distinguishing between marketing hype and standardized financial data.

Common Non-Examples

- Subjective marketing materials.
- Daily diaries of employee tasks.
- Brand popularity and social media metrics.



Marketing materials focus on persuasion, not financial health.



Daily task logs do not show company-wide financial performance.



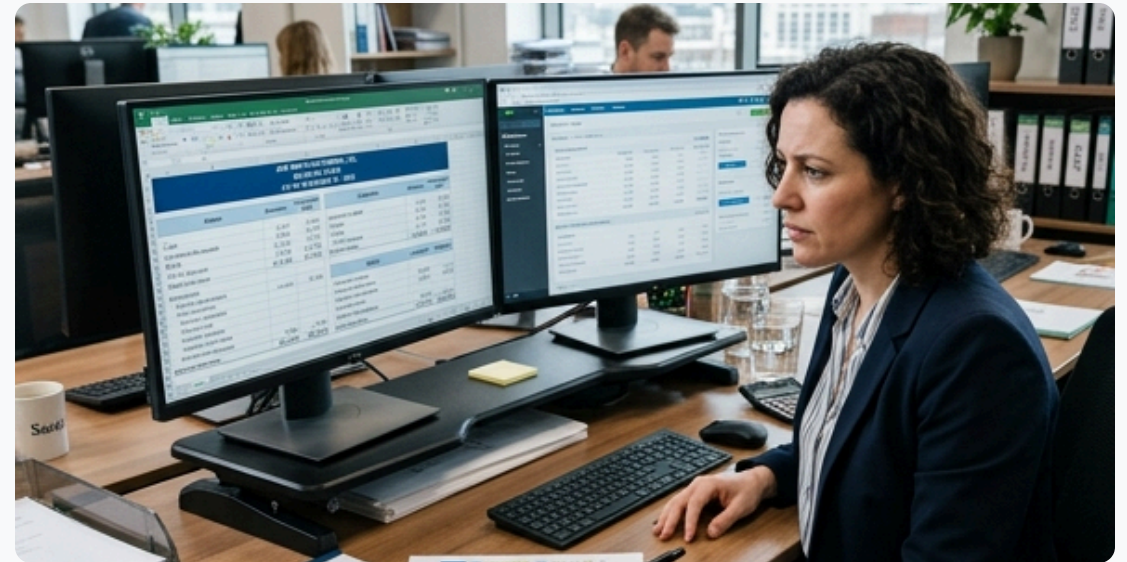
Social media popularity does not equal financial profitability.

Subjective Hype vs. Standardized Reality

- Subjective: Opinions, predictions, and PR campaigns.
- Objective: Hard numbers and verifiable reporting.
- Financial statements rely on strict accounting rules.



Subjective claims and PR campaigns.



Objective, standardized financial reporting.

The Bottom Line on Financial Statements

- They are not a measure of overall brand sentiment.
- They do not track day-to-day employee operations.
- They strictly document standardized financial events.
- Purpose: Objective evaluation, not marketing.

Business Translation: Real-World Scenario

- Action 1: Buy a new delivery truck
- Action 2: Sell 1,000 units of product
- Action 3: Secure a bank loan
- Challenge: Translate actions to financial data



Everyday business activities ready to be translated into a standardized financial language.

Translating Actions to Statements

- Income Statement: Records units sold
- Cash Flow: Tracks money moving in and out
- Balance Sheet: Captures new truck and debt



Income Statement tracks the sales performance.



Cash Flow Statement tracks the money movement.



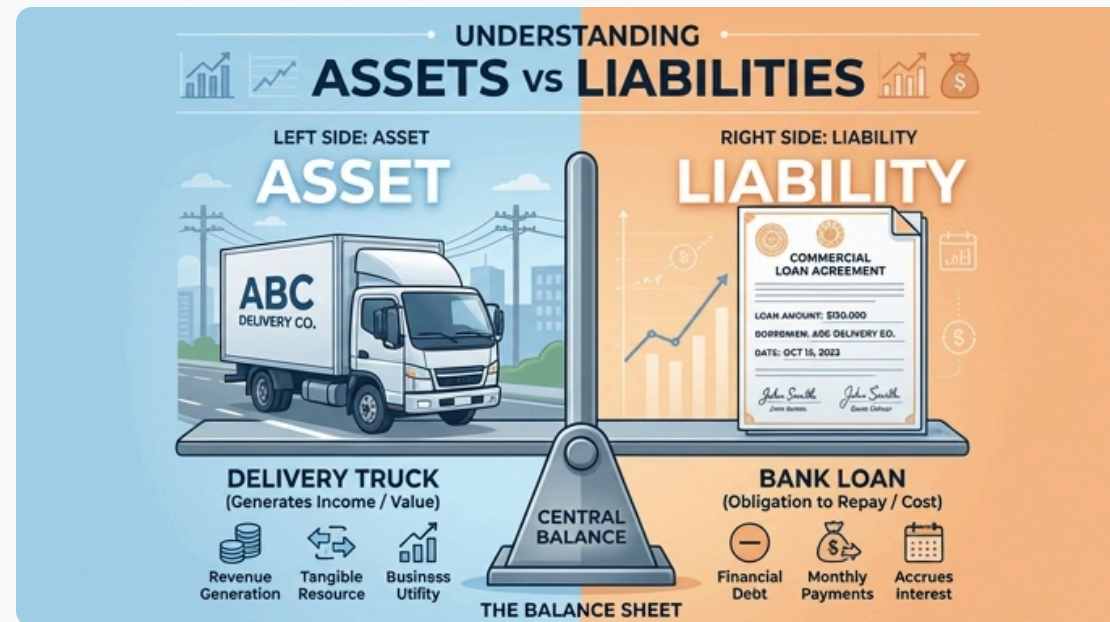
Balance Sheet tracks what the business owns and owes.

Knowledge Check: The "Snapshot"

- Recall the 'medical chart' analogy
- Which statement acts as a snapshot of today?
- Where do the new truck and loan belong?
- Focus on what is owned vs. what is owed

Answer: The Balance Sheet

- The Balance Sheet is the financial snapshot
- Truck = New Asset (What we own)
- Bank Loan = New Liability (What we owe)
- Shows exact position at a specific time



The Balance Sheet translates the truck into an asset and the loan into a liability.